

Position Sizing & Risk Budgeting

PRO FURTHER READING

Want to go deeper on risk budgeting and risk parity? These are free, reputable, and worth bookmarking.

Investopedia - Risk Parity

<https://www.investopedia.com/terms/r/riskparity.asp>

A detailed walkthrough of risk parity, the strategy family referenced in this lesson.

Investopedia - Volatility

<https://www.investopedia.com/terms/v/volatility.asp>

Covers the volatility measure central to the sizing formula in this lesson.

Investopedia - Position Sizing

<https://www.investopedia.com/terms/p/positionsizing.asp>

The single-stock version of this idea, covered in GCG's Intermediate track.

Investopedia - Correlation Coefficient

<https://www.investopedia.com/terms/c/correlationcoefficient.asp>

Explains correlation, which a fuller risk-budgeting approach also accounts for.

Investopedia

<https://www.investopedia.com/>

A huge library of plain-English financial explainers, useful for looking up any term from this lesson.

Please note:

these are general educational resources, not personalized financial advice. No allocation described is a recommendation for your own portfolio. Consult a licensed financial advisor before making investment decisions.